GPE Week 4

Intro to International Finance:

Accounting Frameworks and Capital Flows

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Introduction to International Finance

- In the previous chapters we spoke about international trade and international production
- This meant: trade (and production) of goods and services across borders
- But, in the global economy, the exchange of financial assets across borders, is 60-70x larger than the exchange of goods and services
- Wow: that's quite a lot!

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Why does International Finance Matter?

- The global economy relies every day on a vast exchange of capital across borders
- Companies use this to make payments and purchases
- Individuals invest in foreign currencies
- Individuals and companies invest in foreign assets
  - Physical assets
  - Financial assets
- Foreign capital is the main way that countries pay for imports
- It is a major catalyst for development

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Why does International Finance Matter?

- Often, a developing economy does not have much liquid capital
- But, foreign capital reserves can be extremely useful to jumpstart infrastructure, etc.
- Usually, this is available as a loan
- But it can also be due to investment
- Countries which restrict capital movement (“capital controls”)
- Subject their own currency, and banks, and economies, to potential backlash
- Especially smaller economies, are vulnerable to the movement of international capital
- This can be a two-edged sword—it can be exceedingly helpful, but it can be dangerous. Usually, however, lenders don’t want to cause an actual disaster. So reasonable heads tend to prevail.

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Why does International Finance Matter?

- So the key takeaways are that:
- Every economy today experiences inflows and outflows of international capital
- This is key for trade (imports/exports)
- But also for investment in companies, land, and financial assets
- It controls currency values
- It is key for rapid development, especially in smaller economies
- But handled badly, it can lead to economic disaster
- So, it is a topic which is extremely important for people with international policy expertise to know the basics of

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Introduction to International Finance

- The exchange of assets (capital), across borders, is the basis of international finance
- Mantra for financiers: Things Add Up
- To understand international finance, you need to understand how people keep track of the flow of assets
- To do this, they engage in accounting
- This means, adding up the flows of capital and assets, to and from
- So we will begin with the ‘’circular flow diagram’’ partly as a way of showing how things add up
- If a flow goes one way, there has to be an equal and opposite reaction
- (Usually either debt vs. credit, or asset vs. payment)

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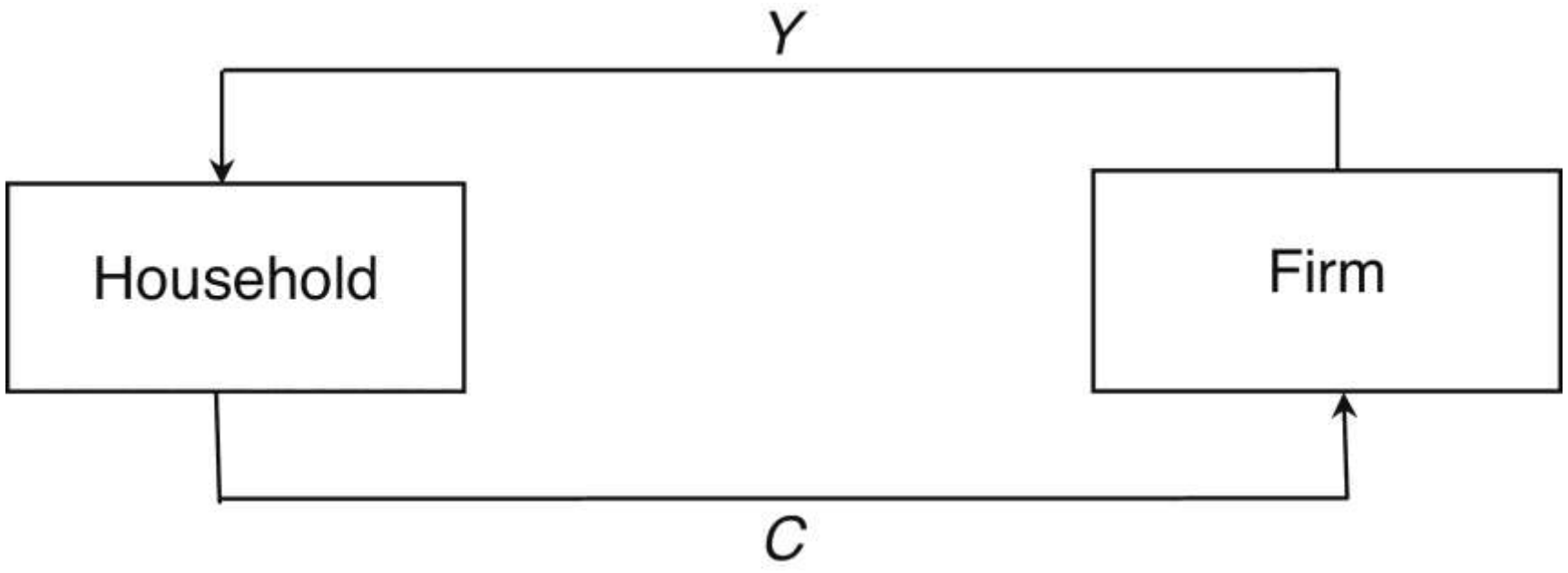

- Y = product of the firms (output, GDP)
- This goes as wages and income to households
- C = consumption by households (consumer spending)
- This goes as spending to the firms

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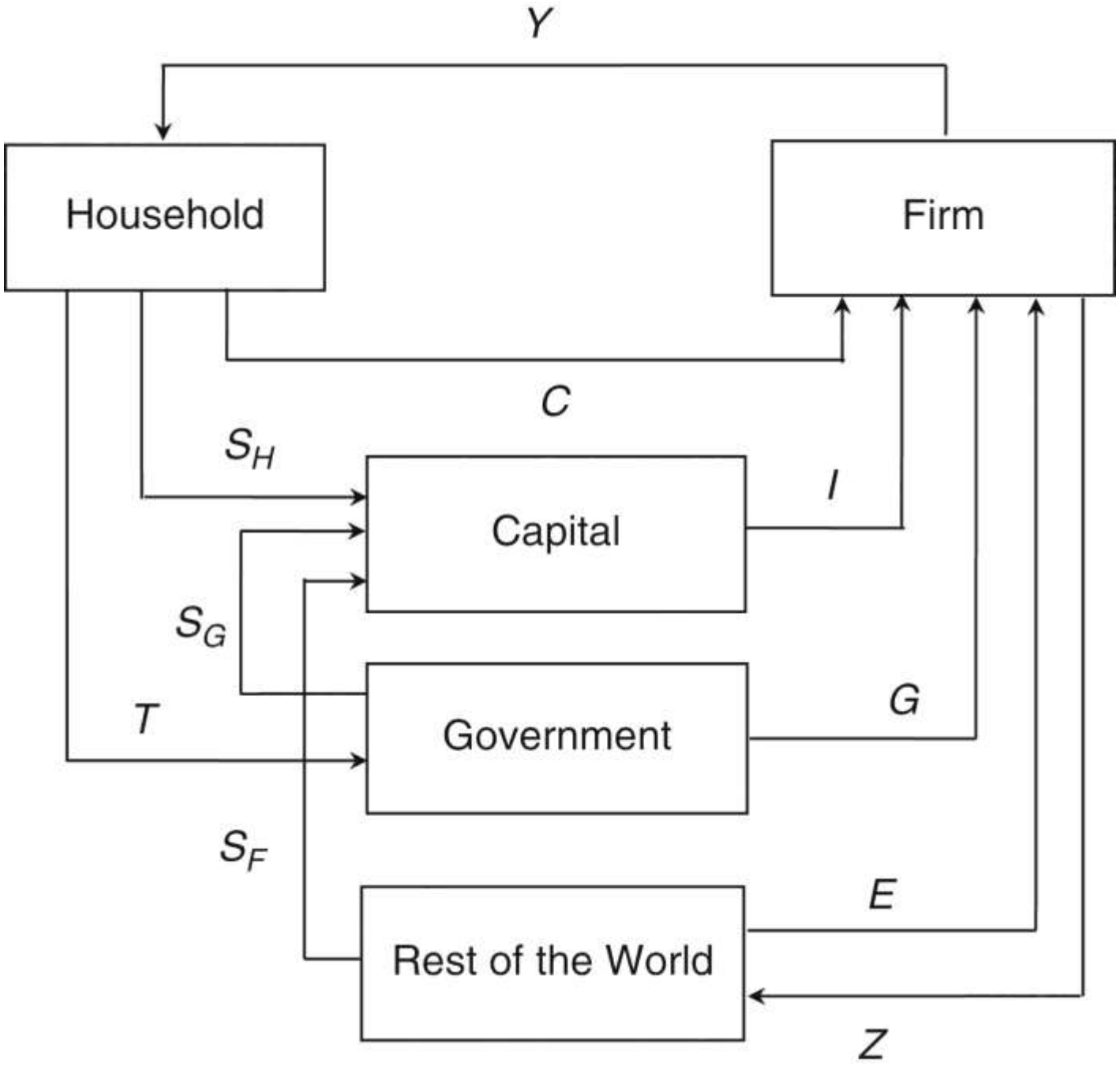

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Open Economy

- Sh = Savings Household
- Sg = Savings Government
- Sf = Savings Foreign
- Capital = banking system
- T = taxes (transfer payments)
- G = Government spending on firms
- I = Investment in firms
- E = Foreign spending on firms' products (exports)
- Z = Firms' investment in foreign production (imports/FDI)

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$$I = (S_H + S_G) + S_F \tag{13.1a}$$

In words:

$$\text{Domestic Investment} = \text{Domestic Savings} + \text{Foreign Savings} \tag{13.1b}$$

It is helpful to rearrange this equation by subtracting domestic savings from both sides. This gives us:

$$I - (S_H + S_G) = S_F \tag{13.2a}$$

Or:

$$\text{Domestic Investment} - \text{Domestic Savings} = \text{Foreign Savings} \tag{13.2b}$$

The fact that "things add up" for the Capital account implies that any gap between domestic investment and domestic savings is made up for by an inflow of foreign savings. We will discuss this further in just a moment.

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$$E + S_F = Z \tag{13.3a}$$

Or, in words:

$$\text{Exports} + \text{Foreign Savings} = \text{Imports} \tag{13.3b}$$

In this and subsequent chapters, we want to place foreign savings (S_F) on equal footing with the two sources of domestic savings (S_H and S_G). We therefore solve Equation 13.3a for S_F to obtain:

$$S_F = Z - E \tag{13.4a}$$

Or:

$$\text{Foreign Savings} = \text{Trade Deficit} \tag{13.4b}$$

The fact that "things add up" for the Rest of the World account implies that any gap between imports and exports (any trade deficit) has a counterpart in and inflow of foreign savings. We will discuss this further later.[4]

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Take a look at the Capital account of Equation 13.2a and the Rest of the World account of Equation 13.4a. Notice that both of these equations have foreign savings on one side. This means that we can combine them into a single relationship that we call the **fundamental accounting equation** for open economies. This equation is:

$$I - (S_H + S_G) = S_F = Z - E \tag{13.5a}$$

Or:

$$\text{Domestic Investment} - \text{Domestic Savings} = \text{Foreign Savings} = \text{Trade Deficit} \tag{13.5b}$$

The fundamental accounting equation is also written in a different form, obtained by multiplying it by the number -1. This form is:

$$(S_H + S_G) - I = -S_F = E - Z \tag{13.6a}$$

Or:

$$\text{Domestic Savings} - \text{Domestic Investment} = \text{Foreign Investment} = \text{Trade Surplus} \tag{13.6b}$$

In Equations 13.6a and 13.b, foreign investment (minus S_F) refers to Mexico's *capital outflows*, that is, its investment in foreign countries. It is just the reverse of foreign savings (S_F) being capital inflows.

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Domestic investment and domestic savings	Foreign savings	Trade balance	Explanation
Domestic investment exceeds domestic savings	Foreign savings is positive	Trade deficit	Domestic savings is too small to finance domestic investment. Therefore, the country requires an inflow of foreign savings to make up the difference. This inflow of foreign savings finances the trade deficit.
Domestic savings exceeds domestic investment	Foreign savings is negative or foreign investment is positive.	Trade surplus	Domestic savings exceeds the requirements of domestic investment. Therefore, the country lends the difference to the rest of the world. This outflow of foreign investment generates a trade surplus.

Fundamental Accounting Equations

Domestic Investment – Domestic Savings = Foreign Savings = Trade Deficit

Domestic Savings – Domestic Investment = Foreign Investment = Trade Surplus

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Capital Flows Accounting Equations Summary

- In short, we've determined that:
- Excess of imports over exports = trade deficit
- Excess of exports over imports = trade surplus

- How do you pay for a trade deficit? With loans of foreign capital
- What do you do with extra money from a trade surplus? Invest it in foreign projects
- What we are going to see is that the **Current Account** measures Goods and Services (primarily)
- And, it must generally speaking balance (be equal and opposite to) the **Capital Account** (which measures the funds that pay for them)

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Balance of Payments Accounts

- These focus exclusively on the relationship of the country with the rest of the world
- Above, we had Firm, Household, Capital, Government, and Rest of World
- Now, we will look only at the details of the flows to the Rest of World, and we call this BOP accounting
- We divide the BOP accounts into 5 sub-accounts

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BOP Accounts

- Current Account
- Capital/Financial Account
- Official Reserve Transactions
- Errors and Omissions
- Overall Balance
- Current account = transactions that create earnings and generate expenditures between Country X and Rest of World
  - Generally, goods and services (Trade Balance)+ Net income on assets + xfers
  - But do not involve the exchange of assets, including loans

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BOP Payments

- Capital/Financial Account records exchanges that do involve the exchange of assets
- Official Reserve: also involves transactions between countries, which involve assets, but these are governmental rather than private
- Errors, etc: happen

- Overall balance must be zero

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Item	Gross	Net	Major balance
Current account			
1. Goods exports	409.8		
2. Goods imports	−420.8		
3. Goods trade balance		−11.0	
4. Service exports	27.6		
5. Service imports	−37.5		
6. Goods and services trade balance		−20.9	
7. Net income (primary income)		−28.3	
8. Net transfers (secondary income)		30.5	
9. Current account balance			−18.7
Capital/financial account			
10. Direct investment (FDI)		26.9	
11. Portfolio investment		8.2	
12. Other investment		−8.0	
13. Capital/financial account balance, net of official reserves balance			27.1
Official reserve transactions			
14. Official reserves balance			4.8
Errors and omissions			
15. Errors and omissions			−13.2
Overall balance			
16. Overall balance			0

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Current Account Details

- Items 1-9
- Goods Exports/Imports
- Service Exports/Imports
- Exports have positive value, imports negative
- Item 6 – 2nd net balance goods and services
- = E-Z value above = Trade Balance
- But, Difference between Current Account and Trade Balance….
  - Net Income
  - Net Transfers

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Current Account Details

- What is Net Income?
- This is income on foreign assets that are held by Mexican residents
- I.e., households own companies abroad
- Firms own companies/factories abroad
- They gain income form them, including profits
- Also: foreigners own Mexican firms/goods, and they take money out of the country
- In Mexico this is more than what Mexicans own abroad, so we have:
- -28.8

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Current Account Details

- What are Net Transfers?
- Foreign aid, foreign remittances, international pension flows
- Inward transfers: of foreign aid, people sending money back to the country
- Outward transfers: giving aid, giving money abroad, foreigners earning pensions living abroad
- In Mexico this is net positive, more inward transfers than outward
- Sum of net items 6-8 = Current Account Balance
- Item 9
- Mexico had Current Account Deficit of 8.4 billion USD

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Capital/Financial Account

- This involves the transfer of assets (not just income)
- Direct Investment = FDI
- Inward FDI = Adds to Positive Cap/Fin Account
- Outward FDI = Adds to Negative Cap/Fin Account
- Portfolio Investment = Investment in Gvt Bonds, Corporate Equities (Stocks) and Corporate Bonds
  - No management influence
- Other Investment = Commercial bank lending
- Cap Account Balance = Summing these
- Official Reserve = G central banks

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Errors and omissions			
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Overall balance			
16. Overall balance			0

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$$\text{Current Account} + \text{Capital/Financial Account} + \text{Official Reserve Transactions} = 0 \tag{13.7}$$

This is the analytical application of "things add up" for the balance of payments accounts. We have also seen that the current account contains the trade balance and the capital account contains foreign savings. So Equation 13.7 is similar to Equations 13.5 and 13.6 of our open-economy macroeconomic accounts. However, it is more inclusive than those accounts and allows for official reserve transactions.

What does Equation 13.7 tell us? There are many ways of going about describing this, but perhaps the easiest is to recognize that, if two of the items in Equation 13.7 have the same sign (positive or negative), then the third must have the opposite sign (negative or positive). To be more specific, we can state that:

- If the current and capital/financial accounts are both positive (negative), then official reserve transactions must be negative (positive).
- If the current and official reserve transaction accounts are both positive (negative), then the capital/financial account must be negative (positive).
- If the capital/financial and official reserve transaction accounts are both positive (negative), then the current account must be negative (positive).

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Let's examine two cases of this with reference to the first of these bullet points. Suppose that the current and capital/financial accounts were both positive. This roughly means that Mexico is selling more goods, services, and assets in the private realm from the Rest of the World than it is buying. The official transactions must make up for the difference. The central bank must buy additional assets to generate an offsetting expenditure with a negative entry and bring the overall balance of payments back to zero.

Alternatively, suppose that the current and capital/financial accounts were both negative. This roughly means that Mexico is buying more goods, services, and assets in the private realm from the Rest of the World than it is selling. Again, the official transactions must make up for the difference. The central bank must sell additional assets to generate an offsetting receipt with a positive entry and bring the overall balance of payments back to zero.

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BOP Summary

- Current Account = Goods, Services, and Income from assets + transfers
- Capital Account = Purchase of assets, whether ‘real’ or financial’
- Basically, these have to be opposite one another
- If the Current Account is Positive, then the Capital Account will be Negative
- I.e., if there is a trade surplus/positive BOP (exports more than exports), then the country will export the extra capital
- If there is a trade deficit, then the country will import (borrow) capital, to pay for its imports

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BOP Summary: Explanation

- Why does the Current Account have to be opposite the Capital Account?
- Because, countries which export, bring in extra capital from abroad
- Domestic savings is already enough to fund the current GDP via investment in companies
- (i.e. companies in your country only need 500m in investment)
- So if you bring in an extra 100m in exports, then where will that 100m be invested?
- The answer is, it has to be invested abroad because there are no more domestic opportunities for investment (interest rates abroad will be higher)

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BOP Summary: Explanation

- On the flipside, if you have a negative BOP, then Imports are more than exports
- This means, that you are buying more things than you have money for
- Money is leaving the country to pay for imports
- Who then will fund domestic production (since production = income = savings)?
- Foreign capital has to pay for your domestic production
- This is why e.g. the US, running a big trade deficit, relies on foreign capital to invest in US companies, because the US doesn’t have enough capital to run the US economy at potential output

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How Reserves Balance Works

- But then, we have the role of bank reserves/i.e. public debt shares/government bonds
- Official Reserves Balance = Foreign securities and currency held by the central bank, to balance out the rest
- If there is a trade surplus, there will be additional capital
- And if private savers are not investing in foreign assets
- Then the central bank will buy foreign assets with the extra capital
- If there is a trade deficit, and foreigners are not investing, then
- The Central bank has to sell debt, to bring in capital to pay for trade deficit this way
- This is why China was buying so much US debt in previous decades

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BOP Practical Effects

- In the following graphs, we see some major international effects of BOP changes
- And the balance between Current and Capital Accounts
- For example, the US has experienced a major inflow of foreign capital
- And, China has begun to hold enormous amounts of USD/T-Bill reserves
- At the same time, we see that the US' inflow of foreign capital has also allowed it to finance massive imports
- So we can say that the US has a massive Capital Account Surplus
- And, a major Current Account Deficit (Imports-Exports)

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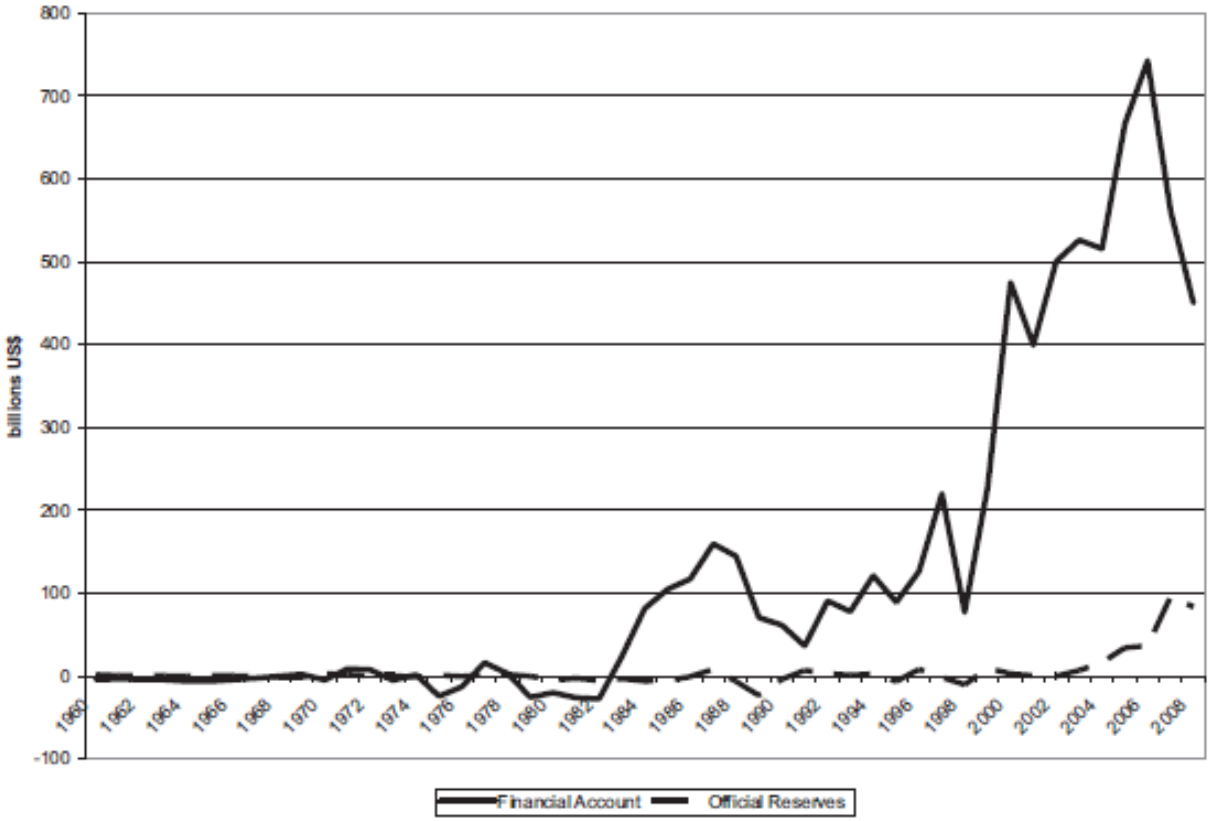

Figure 13.3. United States Capital/Financial and Official Reserves Account Transactions, 1960 to 2008 (billions of US$). *Source*: United States Bureau of Economic Analysis

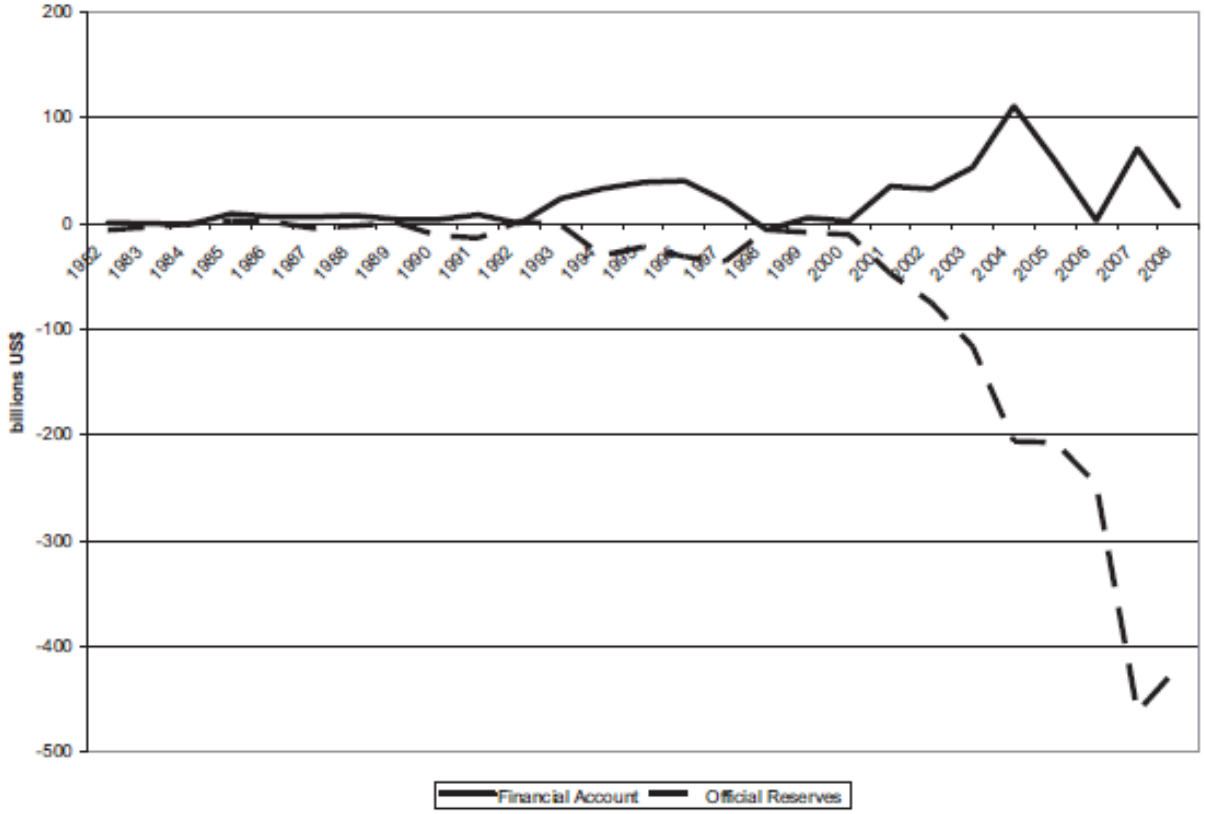

Figure 13.4. China Capital/Financial and Official Reserves Account Transactions, 1982 to 2008 (billions of US$). *Source*: International Monetary Fund, International Financial Statistics

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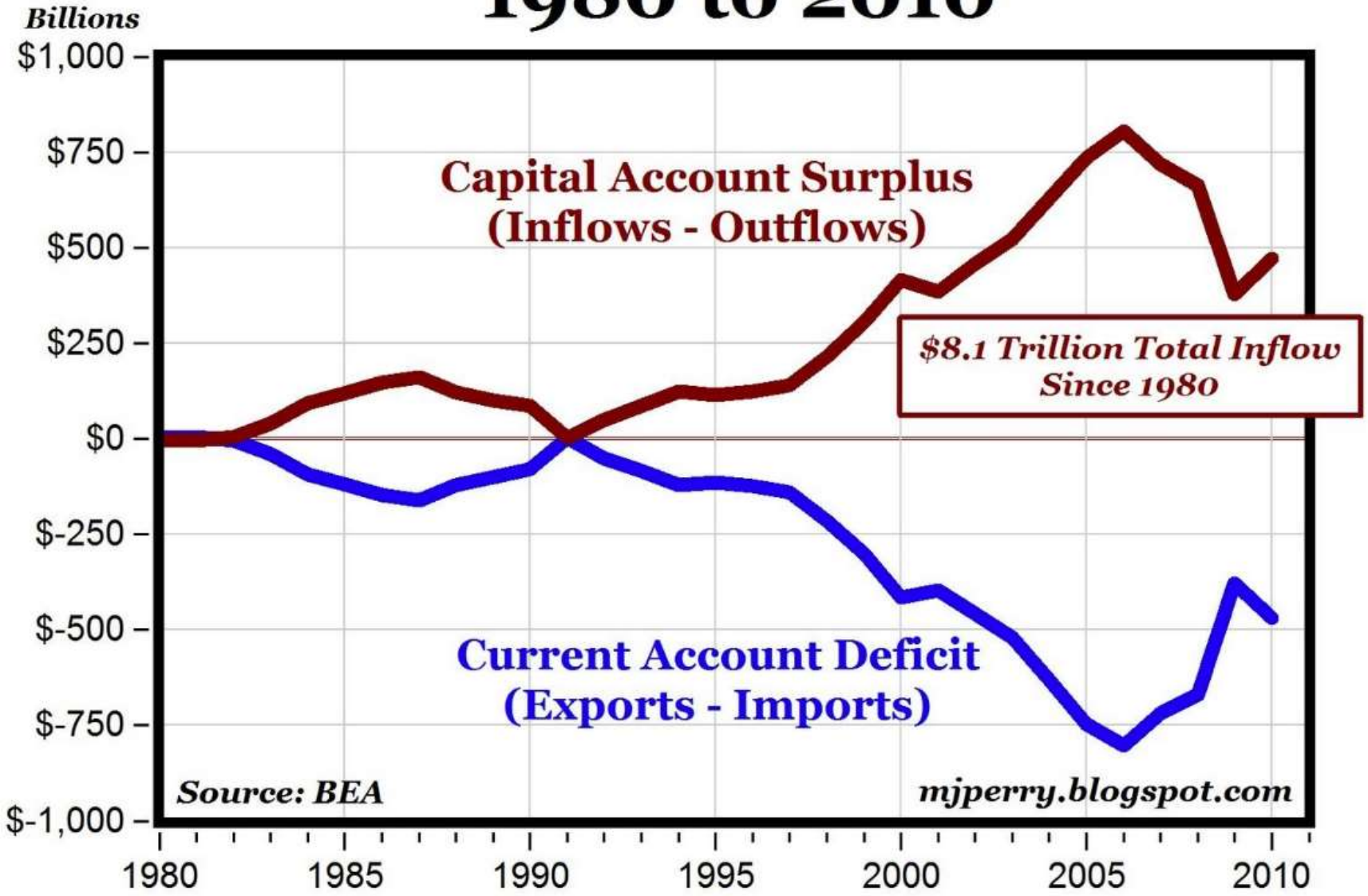
U.S. Balance of Payments 1980 to 2010



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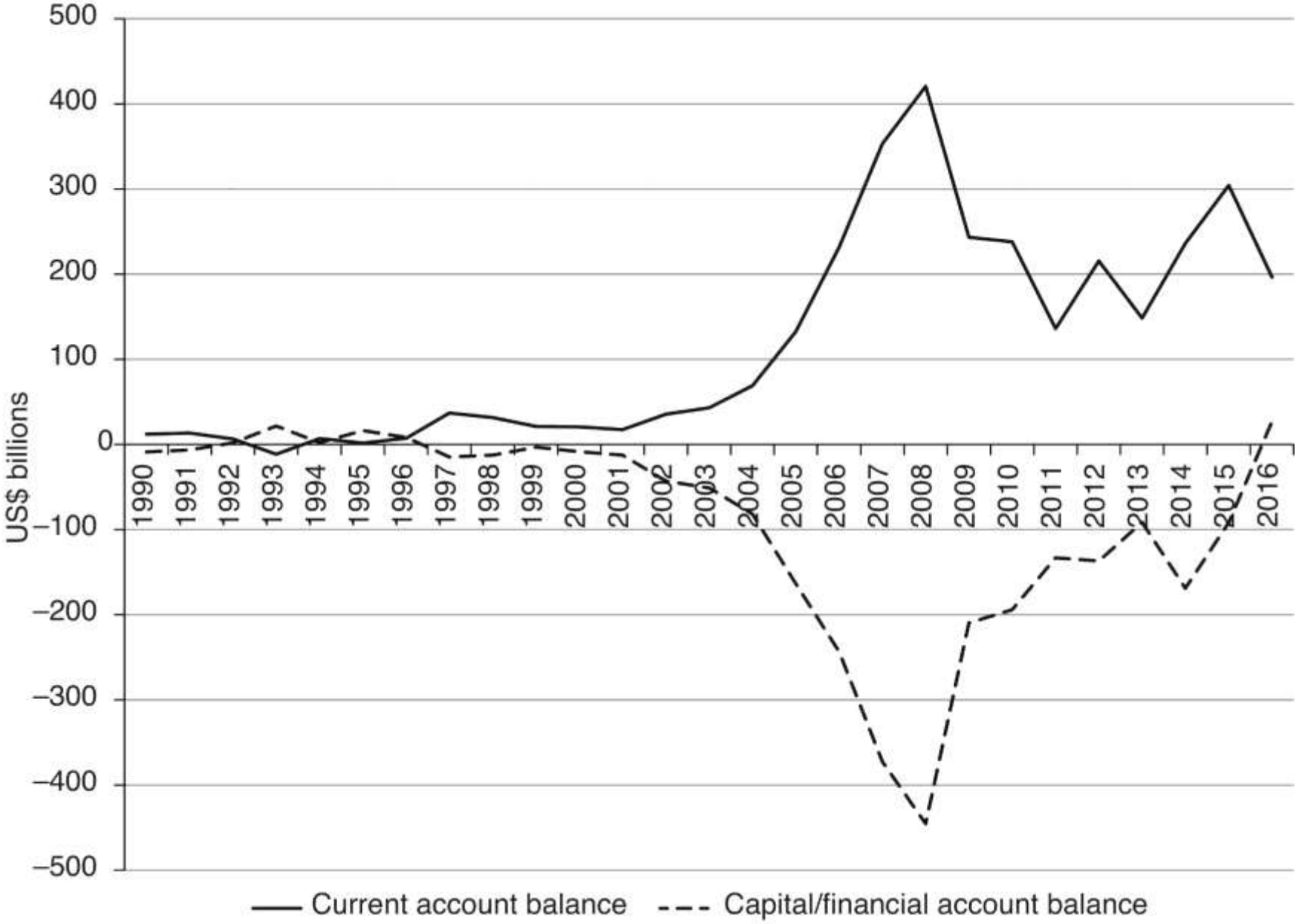

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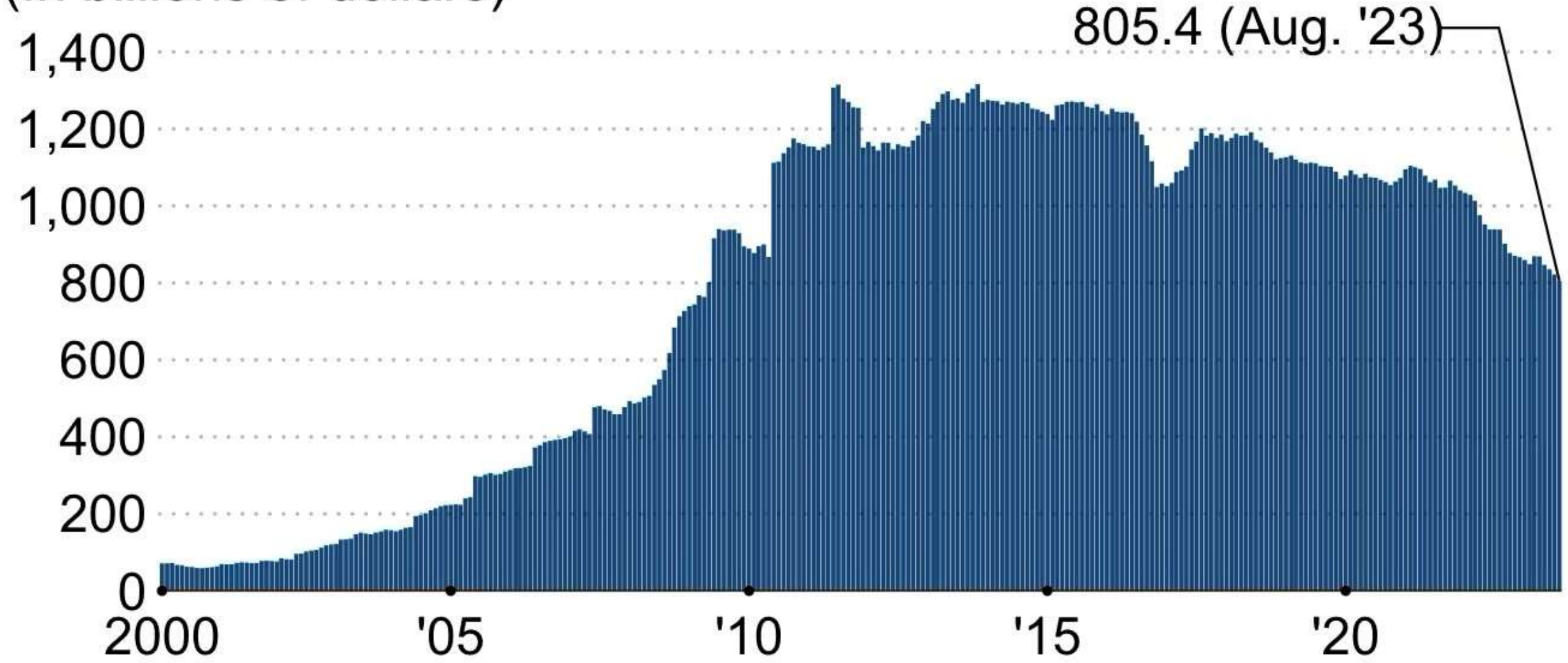
China's U.S. Treasury holdings hit 14-year low

(In billions of dollars)



Source: CEIC, U.S. Department of the Treasury

Capital Flows

- Now that we understand some of the basics of how international accounting works
- We can begin to look at some of the major capital flows which tend to occur across borders
- The major types that we detail are:
- **Foreign Direct Investment (FDI)**
- **Equity portfolio investment**
- **Portfolio bond finance**
- **Commercial bank lending**

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Capital flow type	Explanation	Location in balance of payments	Characteristics
Foreign direct investment	Shares held in a foreign enterprise of at least 10 percent, indicating managerial influence.	Item 10 in Table 14.2, "direct investment."	Because it is for productive purposes, FDI tends to be the least volatile of all capital flows. It plays a key role in international production and global value chains.
Equity portfolio investment	Shares held in a foreign enterprise of less than 10 percent, indicating indirect or portfolio interest rather than managerial influence.	Part of item 11 in Table 14.2, "portfolio investment."	Because it is motivated by portfolio considerations, equity investment tends to have a shorter time horizon than FDI. Consequently, it can be more volatile.
Portfolio bond finance	The purchase of debt instruments in the form of either corporate (private debt) or government bonds (public debt).	Part of item 11 in Table 14.2, "portfolio investment."	Also motivated by portfolio considerations. In the case of central government debt, is part of what is known as "sovereign debt."
Commercial bank lending	Another form of debt but without a generally tradable asset.	Item 12 in Table 14.2, "other investment."	Large inflows are often leading indicators of financial crises.

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Capital Flows Types

- Note that the difference between FDI and equity portfolio investment is a question of degree
- If you have more than 10 percent of shares in a company, then you are considered to have some influence on how it is managed
- But, if you only hold a few shares, or even quite a few but less than 10 percent, then you are a minor shareholder, meaning that you won't have a controlling interest
- Anyone who invests in a portfolio, with a broker, will have their money placed into various international shares
- So this is EPI

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Capital Flows Types

- Another major distinction which financiers and investors make, is the difference between equity and debt instruments
- And this is shown in the difference between items 1 and 2, and item 3
- The difference is this:
- Equity shares means that you own part of a company. If the company increases in value, so do your shares
- But there is no obligation to pay back
- A bond instrument, however, says that you must be paid back; bond holders get first dibs if a company goes bankrupt
- A bond is basically a form of loan, and interest is paid on the loan, as stipulated in the bond contract
- Bonds can be either private (usually corporate), or, public (governments)
- As we have seen, government bonds are how countries finance their spending, with short term cash gained from selling bonds; they then have to “finance” their debt by paying (hopefully low) payments on their total outstanding bonds

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FDI

- We have studied FDI as a component in international production
- But now we look at it from the standpoint of international finance
- FDI is a major reason why capital flows from one country to another
- You can see from the graph below that high income countries have a lot of capital, and so they make the lion's share of international FDI investments
- This is a key way that excess savings get invested, and therefore remain productive
- The point of capital markets, is to ensure that capital does productive things

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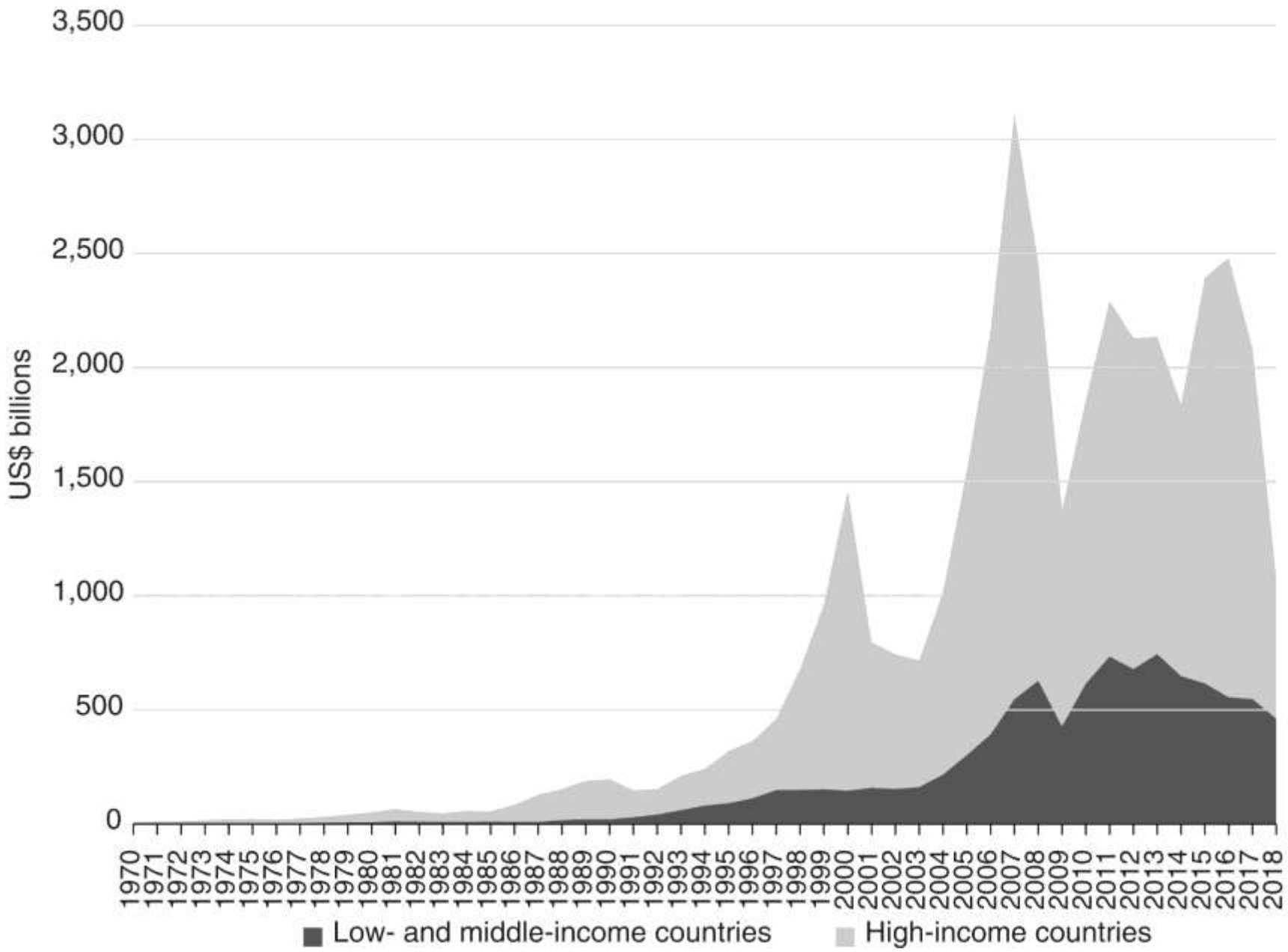

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FDI

- S = I This is one of the secret magics of capitalism
- If you put money under your bed, it does nothing
- But, if you put it in a bank, the bank needs to make money on that money, and so it lends it to people who can pay it back
- Interest is the price, the profit, the incentive to lend and invest money
- Who can best pay it back?
- People who are making profits. This means, people who are making useful things that people want to buy
- This means, banks are investing money in productive enterprises
- And, this means that entrepreneurs with good ideas, can get their projects funded
- In this way, capital markets, ensure that the best projects—the most productive ones, which make the most profits (and create the most jobs), are the ones which have access to the cheapest capital

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FDI

- FDI is considered the “safest” international capital flow
- This means, that it is less volatile
- If you have a lot of FDI, you usually don’t have to worry that the funds can overnight be withdrawn by panickey investors
- This is because FDI usually involves ownership in a long-term productive enterprise
- And it’s a serious decision to divest yourself of this ownership in overseas assets which are producing things (e.g. a company)
- So FDI tends to be more slow moving, more steady, than other types of international capital flow

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Other Capital Flows

- As to other types of flow, these are strong components in international finance as well
- But, they tend to be more volatile
- And arguably, foreign equity portfolio investment can pose risks for financial markets
- Because investors can be panickey; if they are allowed to place and take out money at will, smaller economies can be swamped, or ruined
- However, if governments impose limits on foreign investment, then investors tend to stay away – preferring investments with “no strings attached”

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Sovereign Debt

- We have seen how sovereign debt can be a very dangerous issue when it gets out of hand
- Normally, sovereign debts are considered very “safe” investments, and usually pay low interest, because of this low risk
- Standard and Poor are a major ratings agency, which rates different countries’ sovereign debts (the best is AAA)
- If a country gets into budgetary troubles, and has borrowed more than it can pay back (e.g. Greece in 2011), then investors will stop lending to that government except at very high interest rates
- Which creates a negative feedback loop – because if the government has to borrow at high rates, then it paradoxically has less money to pay interest, just when it needs money the most
- So governments are generally careful not to overextend themselves, because messing up requires intervention by the IMF, and years of austerity and debt payments to foreign lenders

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Sovereign Debt

- A safe level of sovereign debt is considered to be 60% of GDP
- An unsafe level of sovereign debt is considered to be above 100%
- The highest EU countries' levels include that of Italy, which stands at about 135%, and Greece, which is still above 150% after the 2011 crisis
- However, Japan's Debt/GDP ratio has been above 200% for some time, and because Japan was a net capital exporting country, it could always buy it's own debt, so it's a bit of a special case

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Sovereign Debt

- Countries can be said to be “at the mercy of the bond markets” if they get into too much debt
- This is because if their debt/GDP ratio gets too high, bond markets will start to ask for higher interest, in order to lend money
- Then, countries will have to pay more to service their debts, and the result can be a debt spiral
- We will talk more about this in Week 6
- But, it shows that governments that wish to borrow, have to be at least somewhat responsible – this tends to keep governments from doing things which are too crazy, because they know they will scare investors
- This lesson was learned during the later 20th century by most politicians

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Single Capital Markets

- The EU is known as a common market
- Theoretically this means the free movement of goods, services, labor, and capital
- But, actually rules for investments are different in every EU country
- So van der Leyden is pushing for a genuine European capital union
- The goal is to be able to pool capital across Europe, to encourage the growth of large projects, which can compete with China and the US
- Previously, with multiple currencies, free flow of capital could mess up currency values
- And also, it can mess up bond markets as well… so this area is full of pitfalls and this is why it hasn’t been attempted and is still resisted by many European countries who fear capital will flow away from them

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Net vs. Gross Flows

- A major insight in recent years is that even if a country has very small net flows of foreign capital,
- There can be very large gross flows
- A small net flows means that, over the course of the year, very little money “permanently” entered or exited the country
- However, if there is a large gross flow beside the small net flow
- This means that many investors swooped in, invested for a few hours or days, and then swooped out; or vice versa, a lot of capital left and then came back
- The Gross Flow measure therefore shows how volatile and active a market is, which is a phenomenon which can be completely hidden by a small net capital flow figure—this can be a sign of risk

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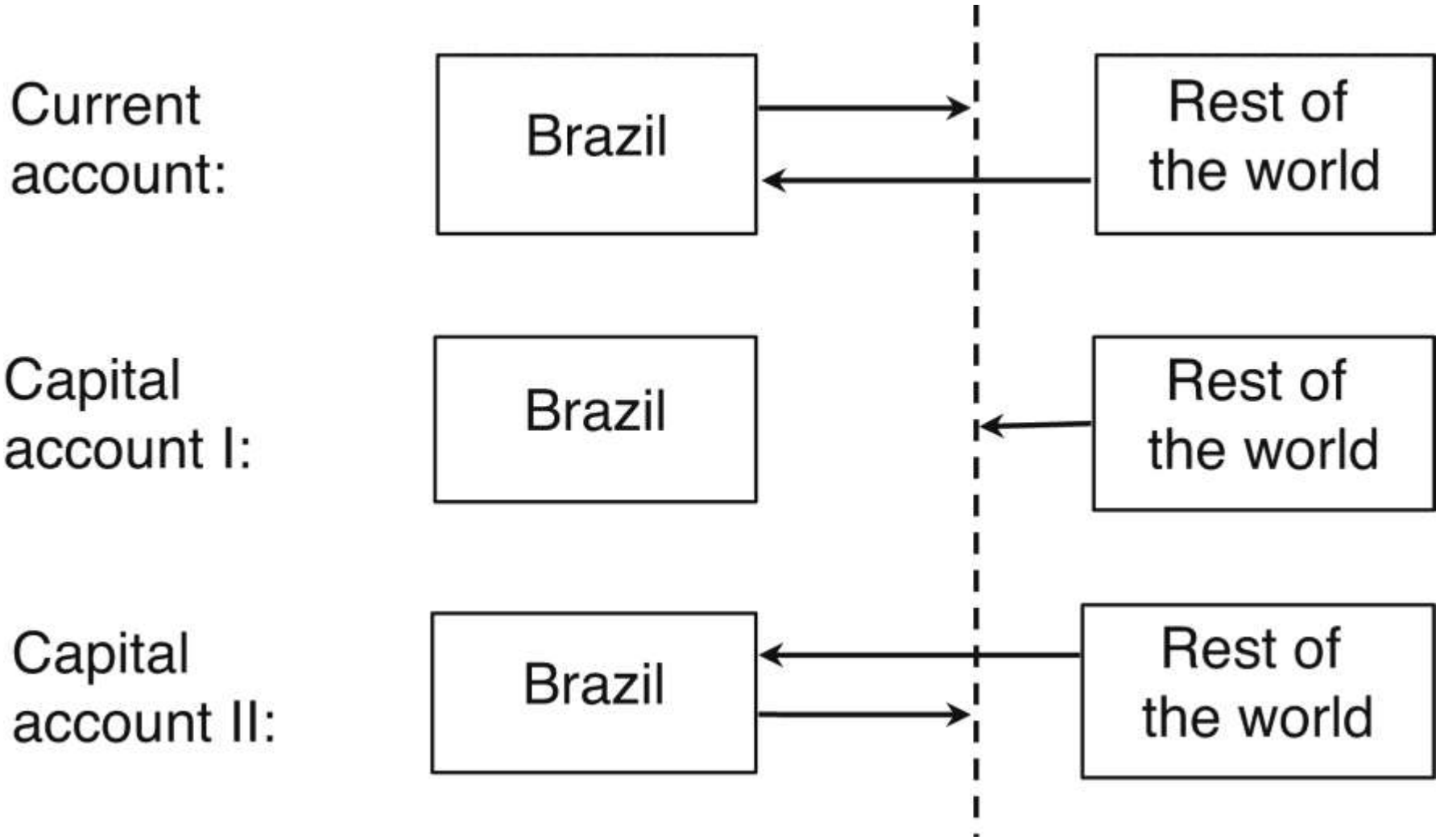

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Explanation of Gross vs. Net Flows Model

- In the previous diagram, we see a situation with the Brazilian Current Account (imports/exports)
- We see here that the rest of the world exports more to Brazil, than Brazil exports to the rest of the world
- This means that Brazil imports more than it exports
- These extra imports, as we now know, have to be paid for by an imbalance of Capital – i.e. a net capital inflow on the capital account
- In Cap Account Scenario 1, the market is relatively stable; there are just enough capital inflows to Brazil, to meet the remainder of its importing habit

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Explanation of Gross vs. Net Flows Model

- However, in Capital Account Scenario II,
- We see that there is actually a lot more inflow of capital to Brazil, than meets the eye
- This is because there is also a lot of outflow from Brazil to the rest of the world
- But, the net remains the same: just enough to pay for Brazil's importing habit
- However, this is considered much more potentially dangerous, risky, because it is volatile: there are very large capital inflows and also outflows, over the course of the year
- Even though the net is the same

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Explanation of Gross vs. Net Flows Model

- Now, why does this matter?
- Because international investors, corporations, and government regulators, and people at the World Bank and IMF, and those who approve large projects for investing in Brazil
- Need to assess the inherent risk of investing in Brazil. If it is very risky, then capital will be committed of a certain variety – high risk loving capital, in search of very high returns
- However, if the projects are assessed as being less risky, then a different type of investor will be attracted, those who are more risk averse, and therefore, interest rates charged will be lower

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Push/pull	Factor	Explanation
Push	Global risk aversion	Increases in global risk aversion negatively affect equity investment, bond finance, and commercial bank lending. They do not seem to affect FDI flows.
Push	High-income country interest rates	Lower interest rates in high-income countries give incentives to investors to look for higher interest rates elsewhere. This effect is strongest for equity investment and bond finance but does not affect FDI flows.
Push	High-income country output growth	High-income country output growth increases flows of equity investment and bond finance.
Pull	Domestic output growth	Domestic output growth in destination countries positively affects all four types of capital flows.
Pull	Asset return indicators	Asset returns in destination countries attract commercial banking and bond finance inflows.
Pull	Country risk indicators	Increased country risk in destination countries negatively affects all four types of capital flow.

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Push/Pull Analysis for Capital Flows

- Next we ask the question of what actually determines whether a country receives capital, or receives less of it?
- Push factors are factors which ostensibly cause capital to leave origin countries
- While pull factors are ones which cause capital to invest in a certain country
- As the table makes clear, however, depending on the movement of the indicator, the factor involved can be a pull or a push factor, for each country involved (i.e., it can keep capital in the country, or drive it out)

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Push/Pull Analysis

- Push Factors:
- For example, global risk aversion is listed as a major push factor –
- So, if risk aversion increases, then people do not want to invest in overseas equities investments or bonds – however, this will push more investment into FDI, since FDI is considered “safer” than these other things
- But, if risk aversion decreases – i.e., if people are hungry to invest in equities, then they will invest less in FDI
- This will lower FDI, and give less of a “push” to it
- Other push factors include low interest rates at home, which encourages funds to look for greener pastures, and high growth at home, which results in more profits at home, and thus more capital to invest abroad

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Pull Factors

- A Pull Factor should be seen from the point of view of the receiving country
- You assume that a pull factor will make your country an attractive place for investment
- Pull factors include high growth in your country, which will attract all types of investment including FDI
- Another pull factor is that asset returns in your country are high, i.e. equity investments are doing well, and/or that interest rates are high
- A third pull factor is country risk factors. If a government ensures that these are low (e.g. Singapore), then you will attract a lot of capital. However, if your government does things which investors don't like (e.g. Turkey, and/or Venezuela), then most international investors will stay away, and FDI will suffer

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Regulating Capital Flows

- In the 1990s, it was thought that unlimited flow of capital from one country to another would lead to the greatest freedom for markets to work their magic
- But, it was realized after the Asian crisis of 1997, that if capital flows are liberalized too quickly, this can cause massive damage to developing countries' financial systems
- So, even the IMF in 2008 (during the next financial crisis), admitted that there had to be market-friendly **capital controls** in place, in order to keep markets from becoming too volatile
- Volatile markets are a major source of investor loss of confidence, which means increased perception of risk, which can cause investors to leave the market at once
- It is recognized that capital controls which operate like quotas are more onerous, and those which operate like tariffs are more market friendly, and can have positive "braking" effects on volatility, without damaging or distorting markets too much
- It is up to individual governments to regulate these flows, and so, just like with regulation of trade, regulation of capital flows is a major aspect of international economics

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GameStop Corp.

46,00 USD

NYSE: GME

+ Follow

+5,41 (13,33%) ↑

Closed: 23 Feb, 05:26 GMT-5 · Disclaimer

Pre-market 44,10 −1,90 (4,13%)

1 day | 5 days | 1 month | 6 months | ytd | 1 year | 5 years | max

Open	46,69	Mkt cap	3,21B	Prev close	40,59
High	48,51	P/E ratio	-	52-wk high	483,00
Low	42,40	Div yield	3,30%	52-wk low	2,57

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Volatility in Markets

- Should market volatility be regulated?
- We have seen, in the Game Stop debacle, that with the internet providing real time information to many investors (many of them inexperienced, or small-scale)
- That very large movements can occur, where thousands or millions of people are manipulated into purchasing a single financial asset, virtually overnight (and much of this capital was foreign)
- The same can hold true for international investors investing in more “serious” projects and assets and banks
- Many market regulators still recognize that:
  - stability is key to the working of the marketplace,
  - and secondly, that an asset’s value should be tied to its intrinsic worth – even though this is a problematic concept
- Thus, regulators are today more cautious about allowing unlimited volatility, than they perhaps were 20 years ago, and the Game Stop mania has helped to cement this opinion amongst traders, financiers, and regulators.

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Capital Flows and Currency Values

- One of the major effects of fast-flowing capital, of course, is the value of a currency
- For example, when investors invest in Mexican assets including Mexican FDI, then they need to turn their money into pesos
- This means that demand for Pesos will go up
- And therefore, the value of the Peso will go up
- When investors leave too quickly, this could cause the currency to crash
- We will be talking about this danger, and this aspect of international currency flows… next week!

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